

TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

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Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at [Civil Remote Hearings | Superior Court of California | County of Orange](#) prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

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No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS**7/30/2026****02:00 PM**

100	Valle vs. EXPRESS FURNITURE SERVICES LLC 2020-01175109	Final Accounting The settlement administrator, ILYM Group, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiff has shown that the administrator's work is complete, the Court's file may now be closed. Plaintiff is ordered to give notice of this ruling to Defendant.
101	Chang vs. HIOSSEN, Inc., a California corporation 2025-01535790	Motion to Appear Pro Hac Vice Defendant Hiossen Inc.'s application for pro hac vice admission of attorney Michael J. Slocum is GRANTED . On or before the anniversary of the date of this order, if this attorney remains counsel for the moving party, the moving party must pay an annual renewal fee of five hundred dollars (\$500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.
102	Balt USA, LLC vs. Treadstone Medical LLC 2021-01237081	Motion for Leave to File Amended Complaint Plaintiff Balt USA, LLC's motion for leave to amend is GRANTED . As a preliminary matter, the instant motion fails to comply with the relevant procedural rules for filing a motion. Rules of Court (CRC), rule 3.1112 specifies that "the papers filed in support of a motion must consist of at least the following: [¶] (1) A notice of hearing on the motion; (2) [t]he motion itself; and (3) [a] memorandum in support of the motion. . . ." (See also <i>Luri v. Greenwald</i> (2003) 107 Cal.App.4th 1119, 1126 [all three elements must be present for a valid motion].) Code of Civil Procedure (CCP) section 1010 requires a "notice of motion" that "must state when, and the grounds upon which it will be made, and the papers, if any, upon which it is to be based." CRC, rule 3.1110(a) also requires a "notice of motion" that "must state in the opening paragraph the nature of the order being sought and the grounds for issuance of the order." Here, Plaintiff has not filed a notice of motion and motion as required by CRC, rule 3.1112, much less a notice of motion that satisfies the requirements of CCP section 1010 and CRC, rule 3.1110. Plaintiff filed only a memorandum of points and authorities. (ROA #1975.)

Under such circumstances, the trial court may “reasonably reject[] the entire motion as defective and noncompliant with California rules and statutes.” (*Luri, supra*, 107 Cal.App.4th at p. 1127.) However, “[a]n omission in the notice may be overlooked if the supporting papers make clear the grounds for the relief sought.” (*Id.* at p. 1125.) “In that situation, the trial court may treat the supporting papers as curing the defective notice.” (*Id.* at p. 1127.)

Accordingly, the Court will exercise its discretion to excuse, this time, the procedural defects with Plaintiff’s motion. However, the Court **ADMONISHES** Plaintiff’s counsel to comply with basic court rules and procedures for future filings or risk the papers being rejected for noncompliance.

Applicable Legal Standards

“The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading” (Code Civ. Proc. [CCP], § 473, subd. (a)(1).) Further, “[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, . . . may allow the amendment of any pleading” (CCP § 576.)

“[C]ourts are bound to apply a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial,” so long as “no prejudice is shown to the adverse party.” (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 761 [internal quotes and citations omitted].) “The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified.” (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428.)

“If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend; and, where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (*Morgan v. Super. Ct.* (1959) 172 Cal.App.2d 527, 530.) Indeed, “judicial policy favors resolution of all disputed matters in the same lawsuit,” and “it is irrelevant that new legal theories are introduced as long as the proposed amendments ‘relate to the same general set of facts.’” (*Kittredge Sports Co. v. Super. Ct.* (1989) 213 Cal.App.3d 1045, 1047-1048, quoting *Hirsa v. Super. Ct.* (1981) 118 Cal.App.3d 486, 489.)

Leave to amend may be denied if the party seeking the amendment has been dilatory *and* the delay has prejudiced the opposing party. (*See Hirsa, supra*, 118 Cal.App.3d at p. 490.) Delay is most likely to result in prejudice warranting a denial of leave to amend “[w]here the trial date is set, the jury is about to be impaneled, counsel, the parties, the trial court, and the witnesses have blocked the time, and the only way to avoid prejudice to the opposing party is to continue the trial date to allow further discovery.” (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 488.)

But “it is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge, supra*, 213 Cal.App.3d at p. 1048.) “[W]here no prejudice is shown to the adverse party, the liberal rule of allowance prevails.” (*Atkinson, supra*, 109 Cal.App.4th at p. 761.)

California Rules of Court (CRC), rule 3.1324 requires that a motion to amend include a copy of the proposed amendment or amended pleading; identify by page, paragraph, and line number any additions to and deletions from the prior pleading; and include a supporting declaration that specifies:

1. The effect of the amendment;
2. Why the amendment is necessary and proper;
3. When the facts giving rise to the amended allegations were discovered; and
4. The reasons why the request for amendment was not made earlier.

(CRC, rule 3.1324(a), (b).)

Application

Here, Plaintiff seeks leave to file a fourth amended complaint (“4AC”) that would add 2 claims—i.e., an 11th cause of action against the Individual Defendants for a breach of their employment agreements by taking Balt’s confidential information, and a 12th cause of action against the Individual Defendants, Infinity Neuro, m4D, and Sonorous for misappropriation of trade secrets. (ROA #1969 [Kohan Decl.], ¶ 79; see also *id.* at Exh. 71 [redline comparing 4AC with 3AC].)

Plaintiff contends that the amendments are necessary and proper because “Balt only just discovered Defendants’ . . . theft of Balt’s confidential information and trade secrets from M4D’s May 27, 2026 [document] production.” (*Id.* at ¶ 80.) Plaintiff contends that the reason why Balt only discovered these documents on May 27, 2026 is because “Defendants have been hiding discovery from Balt for years,” with “the Individual Defendants claim[ing] that they only took one presentation from Balt, and M4D sw[ea]r[ing] that its employees, agents, and representatives took nothing from Balt either.” (*Id.* at ¶ 82.)

Plaintiff contends that the subject documents should have been produced in response to Plaintiff’s initial document requests served on 2/15/2022. (ROA #1975 [Mot. P&A], pp. 5, 7, citing Kohan Decl. at Exhs. 2-4.) These requests sought “All DOCUMENTS and COMMUNICATIONS YOU took from BALT, including any DOCUMENTS or COMMUNICATIONS with BALT’s confidential or proprietary information, like schematics or other medical device drawings or plans.” (Kohan Decl., Exhs. 2-4, Document Requests No. 34.) Admittedly, these February 2022 requests were directed only at the Individual Defendants, i.e., David Ferrera; Dawson Le; Randall Takahashi. (*Id.*) But in 2024, Plaintiff also propounded document requests on Defendant M4D, LLC, seeking “ALL DOCUMENTS YOU took from BALT.” (*Id.* at Exh. 67, Request No. 75.)

		In any case, Plaintiff contends that “Defendants uniformly denied they had any of Balt’s information in their possession, custody or control.” (Mot. P&A at p. 5, citing Kohan Decl. at ¶¶ 4-6, Exhs. 2-4.) Further, “during depositions, the Individual Defendants and 30(b)(6) witnesses all denied that the Defendants had any confidential information belonging to Balt.” (<i>Id.</i>, citing Kohan Decl. at ¶¶ 10-14, Exhs. 5-8.) M4D also “lied, stating that documents it took from Balt ‘do not exist and never existed.’” (<i>Id.</i> at p. 7, citing Kohan Decl., Exh 67 at p. 73.) Nevertheless, through numerous discovery disputes and the appointment of a discovery referee and a forensic neutral, “Balt never stopped requesting documents on the topic, however, because Defendants produced a handful of documents, which cast doubt on Defendants’ discovery responses and sworn testimony, i.e., Defendants’ vehement denial that they had any of Balt’s confidential information. For example, one internal M4D email suggested that M4D had a folder that contained certain Balt documents, which the M4D employees were using to develop knock off Balt products. See Exs. 17-18. Another email suggested that an M4D employee sought to solicit a Balt employee for internal Balt documents, again in connection with a project to develop knockoff Balt products. See Ex. 69.” (<i>Id.</i> at p. 6.) Then, on April 2, 2026, “a lower-level employee at M4D, Hung Nguyen, testified truthfully about how the Individual Defendants had provided M4D with open access to Balt’s confidential and sensitive technical files for many different kinds of Balt products. [Citations omitted.] Contrary to what the Individual Defendants had testified, Hung Nguyen testified that M4D did have shared folders that stored Balt’s confidential information—and that the Individual Defendants encouraged M4D employees to leverage that information while developing similar products for M4D and its customers.” (<i>Id.</i> at pp. 6-7, citing Kohan Decl., Exh. 21, passim.) After Nguyen’s deposition, on 5/27/2026, M4D finally produced “more than 22,000 documents,” which included “a massive volume of Balt’s trade secrets and confidential information—essentially the entire technical files for multiple Balt products and manufacturing processes.” (<i>Id.</i> at p. 7, citing Kohan Decl. at ¶¶ 31-32.) Not only did these files involve “products of which M4D had developed its own knockoff versions” but also “other Balt products that it has not yet created a knockoff version.” (<i>Id.</i> at pp. 6-7, citing Kohan Decl., Exhs. 25-35.) In opposition to the instant motion, Defendants do not dispute any of these basic facts. Instead, Defendants contend that Plaintiff has unreasonably delayed in bringing the instant motion because (1) “back in 2024, Balt told the Court in a prior motion for leave to amend that it sought leave to add claims related to alleged misappropriation of trade secrets, [y]et it chose not to plead those claims”; (2) “before May 2026, Plaintiff already had evidence that M4D allegedly developed knockoff Balt products and internal M4D emails suggesting that M4D had Balt documents being used for that purpose,” as well as “documents concerning Titan specifications and confidential design verification materials, Squid technical files, LAVA testing, and M4D common-drive storage,” which Plaintiff used in a
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		deposition of Defendant Le;¹ and (3) Defendants will suffer prejudice because discovery has closed, the trial date is in November 2026, and “Balt moved only after Defendants identified motions in limine to exclude unpleaded trade-secret and confidential-information theories concerning Titan, Squid, and related issues.” (ROA #2014 [Opp.], p. 1.) These arguments are unavailing. First, as to Plaintiff’s 2024 motion for leave to file a first amended complaint (FAC), although the moving memorandum of points and authorities make one mention that Plaintiff wished to “add claims related to the misappropriation of trade secrets,” ultimately, the actual amendments sought to be made by the 2024 motion consisted of adding new defendants (i.e., Defendants Sonorous Neurovascular Inc., RC Medical, LLC, Infinity Neuro China Co., Ltd., and Single Pass, Inc.). (ROA #522; see also ROA #519, ¶ 2.) Therefore, it appears that the reference to adding “claims related to the misappropriation of trade secrets” was in error at least with respect to the amendments that were actually sought by proposed FAC. Also, in light of the timeline of Plaintiff’s discovery efforts, it makes sense that in 2024, Plaintiff was hoping that it would be able to add misappropriation claims, as Plaintiff was actively pursuing discovery to confirm that its documents containing trade secrets had in fact been taken by Defendants. However, Defendants continued to deny they had taken such documents or otherwise had such documents in their possession—until Nguyen’s deposition testimony in April 2026. As Plaintiff explains, without “evidentiary support,” Plaintiff could not in good faith amend its complaint to allege claims for misappropriation of trade secrets. (See CCP, § 128.7, subd. (b)(3).) And with Defendants consistently denying they took such documents or had such documents in their possession, Plaintiff also did not even have a good-faith basis for certifying that its misappropriation of trade secret claims “are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.” (See <i>id.</i>; see also <i>Optimal Markets, Inc. v. Salant</i> (2013) 221 Cal.App.4th 912, 921, internal citations omitted [as “Section 128.7 was modeled nearly verbatim upon the federal statute, Rule 11 . . . , California courts may consider federal cases construing Rule 11 in interpreting the language of section 128.7”]; <i>Vasquez Perdomo v. Noem</i> (C.D.Cal., Apr. 7, 2026, No. 25-cv-05605-MEMF-SP) 2026 WL 1047696, at *5 (slip copy) [“The fact that the claims are consistent with Plaintiffs’ earlier pleadings does not undercut Plaintiffs’ argument that discovery allowed them to make additional allegations of Defendants’ alleged unlawful acts. To the contrary, Rule 11 requires that Plaintiffs make only allegations that are warranted by law. Whether or not Plaintiffs could have contemplated these theories earlier is beside the point; until they had this evidence . . . , they did not determine that these theories were viable or that they had a good-faith basis to assert them.”].)
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¹ The Court notes that the Declaration of Kelly Champ failed to attach the exhibits. (See ROA #2016.) Nevertheless, the Court was able to deduce what these exhibits contained based on the descriptions provided in Defendants’ opposition brief. (See Opp. at pp. 4-6.)

Moreover, once a misappropriation of trade secret claim is alleged, “before commencing discovery relating to the trade secret, the party alleging the misappropriation shall identify the trade secret with reasonable particularity subject to any orders that may be appropriate under Section 3426.5 of the Civil Code.” (CCP, § 2019.210; see also *Altavion, Inv. v. Konica Minolta Systems Laboratory, Inc.* (2014) 226 Cal.App.4th 26, 43-44, quoting *Diodes, Inv. v. Franzen* (1968) 260 Cal.App.2d 244, 253 [“The trade secret must be described ‘with sufficient particularity to separate it from matters of general knowledge in the trade or of special knowledge of those persons who are skilled in the trade, and to permit the defendant to ascertain at least the boundaries within which the secret lies’”]; *Whyte v. Schlage Lock Co.* (2002) 101 Cal.App.4th 1443, 1452-1453 [“[i]nformation about [Plaintiff]’s new products” is “too broad to enforce because it does not differentiate between truly secret information (such as formulas and product design) and new product information which has been publicly disclosed”].)

In short, Plaintiff was justified in waiting until it had sufficient evidentiary support and a good-faith basis before seeking to actually amend its complaint to allege claims for misappropriation of trade secrets against Defendants.

The same reasoning applies to Defendants’ arguments based on various documents that Plaintiff allegedly already had in its possession and used at depositions before Nguyen’s 2026 testimony. (See Opp. at pp. 4-6.) Defendants even admit that “these documents do not establish trade-secret use.” (*Id.* at p. 4.) At most, Plaintiff had documents *suggesting* that Defendants could have misappropriated Plaintiff’s trade secrets. Ultimately, it was Defendants’ continued denial that they had such documents in their possession and their continued refusal to produce responsive documents already sought in discovery that deprived Plaintiff of the evidentiary support necessary to amend their complaint.

As for Defendants’ prejudice arguments, at bottom, Plaintiff “cannot be faulted for the delay” because “[i]t was the late acquisition of documents . . . that gave [Plaintiff] evidence to support [its claim],” and Defendants do “not dispute that [they] failed to produce the documents [them]selves.” (*Thomson Pacific Construction, Inc. v. City of Sunnyvale* (2007) 155 Cal.App.4th 525, 545.) Thus, while Defendants contend that they would be prejudiced because allowing Plaintiff to amend the complaint would require Defendants to either defend the new claims without the benefit of discovery since discovery has already closed, or the trial date and pretrial deadlines would need to be continued, ultimately, any such prejudice is Defendants’ own fault.

The Court does acknowledge Sonorous’s arguments that Plaintiff “has identified no deficiencies in Sonorous’s production or response” and has had “the complete design history file for the Bosstent” by September 2025, and thus, Plaintiff’s arguments about M4D’s delayed production “fails to excuse Balt’s delay against Sonorous.” (ROA #2008 [Sonorous Opp.], pp. 10-11.) However, the Court also accepts Plaintiff’s rebuttal that “Sonorous’[s] argument essentially relies on the faulty premise that Balt’s trade secrets are

		relevant only to Sonorous only if the trade secrets are part of the technical files for Balt’s braided tent product, known as the Leo,” as Plaintiff alleges that “the ‘Bosstent’ is a ‘venous stent system’” that “includes a delivery catheter that would benefit from Balt’s trade secrets related to Balt catheter products, like the Ballast or Titan,” about which documents were produced as part of M4D’s May 2026 production. (ROA #2024 [Reply to Sonorous Opp.], p. 4.) Plaintiff also contends that “the misappropriated trade secrets also contain information related to equipment, material and test protocols that would be valuable for Defendants’ development of the Bosstent system.” (<i>Id.</i>) Indeed, Defendants—including Sonorous—also make various other arguments challenging the substantive merit of Plaintiff’s proposed 4AC, including whether Plaintiff’s misappropriation of trade secret claims are barred by applicable statutes of limitations and whether the proposed 4AC pleads sufficient facts to state a claim for misappropriation of trade secrets against any particular Defendant. But these issues are not ripe for adjudication at this time, and certainly not on the record and arguments currently before the Court, and especially to the extent they involve disputed factual contentions. (See <i>Atkinson v. v. Elk Corp.</i> (2003) 109 Cal.App.4th 739, 760 [“better course of action” is to grant leave to amend the complaint “and then let the parties test its legal sufficiency in other appropriate proceedings”].) <i>At the hearing on the motion, the Court will hear from the parties on setting an appropriate new trial date in light of this ruling.</i> Plaintiff is ORDERED to separately file the proposed 4AC with the Court within 3 court days and serve all Defendants within 30 days. The 4AC must be filed as a separate document to ensure it is properly indexed in the record. Moving party shall give notice.
104	Thomas vs. ADECCO USA, INC. 2025-01486759	1. Motion to Compel Arbitration 2. Joinder 3. Case Management Conference In light of Plaintiff Kevin M. Thomas’s Statement of Non-Opposition (ROA #58) to Defendant Adecco USA, Inc.’s Motion to Compel Arbitration (ROA #44), the Court GRANTS Defendant Adecco’s motion. Plaintiff also has not filed any opposition to the Joinder of Defendant Rutgers, the State University of New Jersey (erroneously sued herein as Vets4Warriors) in Defendant Adecco’s motion, which asserts that “the arguments and contentions set forth in its Motion are equally applicable to Rutgers.” (ROA #50.) Accordingly, the Court also GRANTS Defendant Rutgers’s joinder. Plaintiff is ORDERED to arbitrate his individual claims against Defendants Adecco and Rutgers. Plaintiff’s representative claims are otherwise STAYED until the arbitration is had pursuant to Code of Civil Procedure section 1281.4.

		An ADR review hearing is scheduled for March 25, 2027 at 9:30AM in Department CX102. The parties shall submit a joint status report 10 days in advance of the hearing. Defendants shall give notice of this ruling.
105	Interface Rehab, Inc. vs. 4545 Shelley Court Opco, LLC 2025-01501797	1. Motion to Compel Deposition (Oral or Written) 2. Case Management Conference Plaintiff Interface Rehab, Inc.’s Motion to Compel Compliance with Deposition Subpoena for the Production of Business Records from NewGen, LLC and Request for Monetary Sanctions is GRANTED IN PART and DENIED IN PART. Background On 11/4/2025, Plaintiff issued a Deposition Subpoena for Production of Business Records directed at NewGen, which was personally served on NewGen on 11/10/2025, demanding production to Plaintiff on 11/26/2025. (ROA #236, Exh. A.) The 23 document requests were phrased broadly—for example: • 4. All DOCUMENTS that show payments received from PATIENTS RELATED TO services provided by INTERFACE. • 12. ALL DOCUMENTS that evidence, REFER or RELATE TO payments received by DEFENDANTS RELATED TO services provided by INTERFACE. • 22. All COMMUNICATIONS regarding services provided to DEFENDANTS by INTERFACE. (<i>Id.</i>) On 12/2/2025, after the date designated for production, NewGen served objections to the deposition subpoena, including “based on the privacy rights of non-party residents and employees pursuant to HIPAA and the California Constitution and statutes.” (ROA #236, Exh. B.)

Merits

Plaintiff takes the position that, by failing to object or move to quash before the production deadline, NewGen has waived all objections to the subpoena. (ROA #236, Mot. P&A, p. 4.)

NewGen/Defendants take the position that the deposition subpoena was defective because it was not accompanied by a notice to consumer as required under Code of Civil Procedure (CCP) section 1985.3. (ROA #418, Opp., at p. 4.)

The Court agrees with NewGen/Defendants that CCP section 1985.3 applies, and Plaintiff failed to comply with its notice requirements.

CCP section 1985.3 governs “subpoenas duces tecum for the production of personal records.” Under subdivision (a)(1), “[p]ersonal records” is defined as “any . . . documents . . . pertaining to a consumer and which are maintained by any ‘witness’ which is a physician, . . . physical therapist, . . . hospital, medical center, [or clinic] clinic.”

The Court finds that since Defendants are skilled nursing facilities, Defendants fall under the definition of “witnesses” under CCP section 1985.3, subdivision (a)(1). And since NewGen essentially acts as Defendants’ third-party agent in handling medical billing and other administrative services, the Court also finds that NewGen, by extension, falls under the definition of “witness” to the extent NewGen possesses documents that are of the kind that section 1985.3 aims to protect. The Court finds that this construction of section 1985.3 is consistent with its purpose as “an outgrowth of the then-recent amendment to the California Constitution that elevated the right of privacy to an alienable right.” (*Foothill Federal Credit Union v. Super. Ct.* (2007) 155 Cal.App.4th 632, 639.)

The Court also finds that at least some of Plaintiff’s document request categories, as phrased, implicate “personal records” under section 1985.3, subdivision (a)(1). The Court also notes that as part of the parties’ meet-and-confer efforts, Plaintiff “acknowledge[d] that some responsive records could include patient information” and agreed that NewGen may “redact patient identifiers to the extent necessary.” (ROA #236, Exh. C [Pl.’s 12/5/2025 meet-and-confer letter].)

In any case, as Plaintiff did not serve any notice on the consumers or patients whose personal records were implicated by its originally broadly worded deposition subpoena, the Court finds that Plaintiff failed to comply with the notice requirements of section 1985.3.

“Failure to comply with [section 1985.3’s notice requirements] shall be sufficient basis for the witness to refuse to produce the personal records sought by a subpoena duces tecum.” (CCP, § 1985.3, subd. (k).) Therefore, NewGen was within its rights to *initially* refuse to produce the records sought by Plaintiff’s deposition subpoena.

However, on 12/5/2025, after Plaintiff received NewGen’s 12/2/2025 objections, Plaintiff sent a meet-and-confer letter clarifying that although “some responsive records could include patient information; however, this is not the information Interface is seeking, and New Gen may redact patient identifiers to the extent necessary.” (ROA #236, Exh. C.) The parties then engaged in months of meet-and-confers, resulting in NewGen producing some business records in response to the deposition subpoena. (See ROA #410, Supp. Aube Decl., ¶ 3.) The parties also ultimately also stipulated to a protective order to address confidentiality, which the Court signed and entered on 5/5/2026 (ROA #271.).

The Court therefore finds that Plaintiff has sufficiently “modified” its document request categories by clarifying that NewGen may redact any patient-identifying information and may designate relevant documents as confidential, such that notice to consumers is no longer necessary. Accordingly, NewGen must comply with the deposition subpoena.

“If a deponent fails . . . to produce any document . . . under the deponent’s control that is specified in the deposition notice or a deposition subpoena, the party seeking discovery may move the court for an order compelling that . . . production.” (CCP, § 2025.480, subd. (a).) “If the court determines that the . . . production sought is subject to discovery, it shall order that . . . the production be made.” (*Id.*, subd. (i).)

After the parties’ continuous meet-and-confers and NewGen’s partial productions, the parties were able to narrow their disputes to just six (6) document requests at issue on this motion:

- Request No. 1: Documents showing payments received from Medicare related to services provided by Interface;
- Request No. 2: Documents showing payments received from Medi-Cal related to services provided by Interface;
- Request No. 3: Documents showing payments received from commercial insurance carriers related to services provided by Interface;
- Request No. 4: Documents showing payments received from patients related to services provided by Interface;
- Request No. 12: Documents evidencing or relating to payments received by Defendants related to services provided by Interface; and
- Request No. 23: Documents showing payments made by NewGen to Interface.

(ROA #410, Supp. Mot. P&A, p. 6.)

“[A] civil litigant’s right to discovery is broad.” (*Williams v. Super. Ct.* (2017) 3 Cal.5th 531, 541.) “[A]ny party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action . . . if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence.” (CCP, § 2017.010.) “[S]tatutes governing discovery must be construed liberally in favor of disclosure unless the request is clearly

improper by virtue of well-established causes for denial.” (*Williams, supra*, 3 Cal.5th at p. 541, internal quotes omitted.) “This means that disclosure is a matter of right unless statutory or public policy considerations clearly prohibit it.” (*Id.*, internal quotes omitted.)

“For discovery purposes, information is relevant if it might reasonably assist a party in *evaluating* the case, *preparing* for trial, or *facilitating* settlement.” (*Gonzalez v. Super. Ct.* (1995) 33 Cal.App.4th 1539, 1546, italics original, internal quotes omitted.) “[D]oubts as to relevance should generally be resolved in favor of permitting discovery.” (*Pacific Telephone & Telegraph Co. v. Super. Ct.* (1980) 2 Cal.3d 161, 173.)

The Court finds that Plaintiff is entitled to discovery the documents requested by the disputed requests. They are relevant to Plaintiff’s claims and Defendants’ defenses. Plaintiff seeks recovery for services Plaintiff performed but for which Plaintiff was not paid, and the complaint alleges causes of action for (1) breach of contract; (2) account stated; (3) open book account; (4) quantum meruit; and (5) unjust enrichment. (ROA #2.) Defendants have contended that Plaintiff provided “substandard performance of services”; that Defendants “dispute[] . . . Interface’s contractual performance and the amounts alleged owed”; and that “[w]ell before the initiation of this lawsuit, the value of services provided and the amounts stated in the invoices have been in dispute.” (See, e.g., ROA #315, Opp. to App. for Right to Attach Order, pp. 5-6.) Defendants have also since filed a cross-complaint against Plaintiff, alleging, inter alia, claims for quantum meruit and unjust enrichment.

Defendants oppose the instant motion to compel on two basic grounds: (1) patient privacy rights and (2) the subject requests “seek aggregate reimbursement information that does not identify payments attributable to Plaintiff’s services and necessarily contains protected information regarding numerous non-party patients and unrelated services.” (Opp. at p. 7-9.)

These arguments are unavailing. First, the patient privacy concerns have already been addressed by the parties’ agreement that NewGen may redact patient-identifying information and by the stipulated protective order. Second, Defendants do not dispute that the requested documents concern payments Defendants received for services provided by Plaintiff. Defendants have not cited any authority holding that Plaintiff is not entitled to relevant payment or billing records just because such information is recorded in “aggregate” terms. Once the records are produced, the parties may also engage in additional discovery to clarify what those “aggregate” numbers mean and to determine how much of the “aggregate” is attributable to Plaintiff’s services.

Therefore, the Court **GRANTS** Plaintiff’s motion to compel and **ORDERS** NewGen, LLC to serve all responsive documents, properly redacted to protect patient-identifying information but without further objections, in response to Requests Nos. 1-4 and 12-13 of the deposition subpoena within 21 days of notice of this ruling.

Sanctions

Under CCP section 2025.480, subdivision (j), “[t]he court *shall* impose a monetary sanction . . . against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel an answer or production, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.”

Even when “no opposition is filed, or opposition to the motion was withdrawn, or the requested discovery was provided to the moving party after the motion was filed,” the court has discretion to award sanctions in favor of the moving party. (Cal. Rules of Court, rule 3.1348(a).)

Monetary sanctions may include “reasonable expenses, including attorney’s fees.” (Code Civ. Proc., § 2023.030, subd. (a).)

The Court finds that NewGen acted with substantial justification in refusing to respond to Plaintiff’s initially overbroad deposition subpoena that also failed to comply with consumer notice requirements. However, the Court also finds that NewGen did not act with substantial justification in refusing to comply with the deposition subpoena after the parties entered into a stipulated protective order on 5/5/2026.

Plaintiff’s counsel attests to spending 2.5 hours preparing the supplemental motion and anticipates spending 3 hours replying to the opposition and an additional 2 hours preparing for and appearing at the hearing on this motion, all at \$600 per hour, plus \$60 in motion filing fees. While the anticipated hours seem somewhat inflated, the Court also recognizes that Plaintiff’s counsel spent time continuing to meet and confer with NewGen in an attempt to obtain the subpoenaed documents after NewGen failed to produce responsive records after 5/5/2026. Accordingly, the Court finds that \$4,560 is a reasonable amount for monetary sanctions on this motion.

The Court notes that Plaintiff requests sanctions against both NewGen and NewGen’s counsel. Unlike monetary sanctions against a party, which are based on the party’s misuse of the discovery process, monetary sanctions against the party’s attorney require a finding the “attorney advis[ed] that conduct.” (*Ghanooni v. Super Shuttle* (1993) 20 Cal.App.4th 256, 261.) Here, Plaintiff has presented no evidence tending to show that NewGen’s counsel advised NewGen not to respond to the outstanding discovery. Thus, the Court will award monetary sanctions only against NewGen and not against counsel.

Accordingly, sanctions in the amount of \$4,560 are **GRANTED** in favor of Plaintiff and against NewGen, LLC, payable to Plaintiff’s counsel within 30 days of notice. Sanctions are **DENIED** as to NewGen’s counsel.

Moving party shall give notice.

106	Quinn vs. Valley Post-Acute And Rehab LLC 2025-01518740	1.Motion to Compel Answers to Form Interrogatories (ROA 57) 2. Motion to Compel Answers to Special Interrogatories (ROA 56) 3.Motion to Deem Facts Admitted (ROA 58) 4. Motion to Compel Production (ROA 59) 5. Case Management Conference <u>Motion No. 1: Compel Responses to Special Interrogatories, Set One</u> Plaintiff Harvey Quinn’s unopposed motion to compel defendant VPR Ops, LLC to answer without objection Special Interrogatories, Set One, is GRANTED. Responses are due within 30 days notice of this order, unless the parties agree otherwise. The court finds no substantial justification or other circumstances which make the imposition of the monetary sanctions unjust. The court awards plaintiff reasonable expenses in the amount of \$710.00, payable by defendant VPR Ops, LLC within 20 days’ notice of this order, unless the parties agree otherwise. C.C.P. §§ 2023.010, 2023.030. <u>Motion No. 2: Compel Responses to Form Interrogatories, Set One</u> Plaintiff Harvey Quinn’s unopposed motion to compel defendant VPR Ops, LLC to answer without objection plaintiff’s Request for Identification and Production of Documents, Set One, is GRANTED. Responses are due within 30 days’ notice of this order, unless the parties agree otherwise. The court finds no substantial justification or other circumstances which make the imposition of the monetary sanctions unjust. The court awards plaintiff reasonable expenses in the amount of \$710.00, payable by defendant VPR Ops, LLC within 20 days notice of this order, unless the parties agree otherwise. C.C.P. §§ 2023.010, 2023.030. <u>Motion No. 3: Compel Responses to Request for Identification and Production of Documents, Set One</u> Plaintiff Harvey Quinn’s unopposed motion to compel defendant VPR Ops, LLC to answer without objection plaintiff’s Special Interrogatories, Set One, is GRANTED. Responses are due within 30 days notice of this order, unless the parties agree otherwise. The court finds no substantial justification or other circumstances which make the imposition of the monetary sanctions unjust. The court awards plaintiff reasonable expenses in the amount of \$710.00, payable by defendant VPR Ops, LLC within 20 days’ notice of this order, unless the parties agree otherwise. C.C.P. §§ 2023.010, 2023.030. <u>Motion No. 4: Deem Requests for Admission, Set One, Admitted</u>
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		Plaintiff Harvey Quinn’s unopposed motion to deem admitted each Request for Admission, Set One, served on Defendant VPR Ops, LLC, is GRANTED. The court finds no substantial justification or other circumstances which make the imposition of the monetary sanctions unjust. The court awards plaintiff reasonable expenses in the amount of \$710.00, payable by defendant VPR Ops, LLC within 20 days’ notice of this order, unless the parties agree otherwise. C.C.P. §§ 2023.010, 2023.030, 2033.280, subd. (c). Plaintiff is ordered to give notice of all of the above.
107	Benitez vs. LAZ Parking California, LLC 2024-01441429	Motion for Preliminary Approval of Class/PAGA Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. Accordingly, Plaintiff Moises Benitez and Walter David Rodriguez’s Motion for Preliminary Approval of Class Action and PAGA Settlement is GRANTED. This is a putative wage-and-hour class action and PAGA matter. On 11/21/2024, Plaintiffs Moises Benitez and Walter David Rodriguez, individually and on behalf of all others similarly situated, filed a class action and PAGA complaint against Defendants LAZ Parking California LLC and Alan Lazowski. (ROA #2.) Defendant answered on 2/14/2025. (ROA #23.) The operative complaint is the first amended complaint (FAC), filed on 1/13/2026 pursuant to the Court’s order granting leave, alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #59.) On 2/13/2026, Plaintiffs filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class Action and PAGA Settlement Agreement and Class Notice and Class Notice for the Court’s review. The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiffs’ class and PAGA claims for the non-reversionary gross settlement amount (GSA) of \$2,500,000. The GSA includes \$100,000 allocated for PAGA penalties. On 6/18/2026, the Court continued the first hearing on the motion and asked Class Counsel to address various issues. (ROA #106.) Counsel then submitted supplemental materials, including an Amended Class Action and PAGA Settlement Agreement and Class Notice (“Amended Settlement Agreement”). (ROA #104, Exh. 1.) Based on a review of all papers submitted, including the Amended Settlement Agreement, the Court finds the settlement falls within the range of what is considered fair and reasonable, subject to a final determination at the Final Approval hearing.

		The Motion for Final Approval will be heard on 12/3/2026 at 2:00 p.m. in Department CX102, as this department hears Law & Motion matters on Thursdays. All papers for the Motion for Final Approval must be filed and served no later than sixteen (16) court days before the hearing date. If Class Counsel cannot meet this deadline, then they must request a continuance of the hearing. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. At the Final Approval hearing, evidence supporting the request for an award of attorneys' fees should be presented in the form of time records or a summary of time spent on the substantive tasks, so as to enable the Court to evaluate the lodestar and costs claimed. Class Counsel should state by declaration whether time records were kept and created contemporaneously or otherwise. The Court also reminds Class Counsel that although a determination regarding the amount of the attorneys' fees award will not be made until final approval, the Court is unlikely to approve attorneys' fees in excess of thirty percent (30%) of the GSA absent unique circumstances. As a result, Class Counsel should address whether any such unique circumstances exist. Also at the Final Approval hearing, Class Counsel must also disclose whether counsel has any fee-splitting arrangement with any other counsel, or confirm none exists. Additionally, at the Final Approval hearing, each Plaintiff and Class Counsel must provide detailed declarations describing circumstances to justify the requested enhancement award and addressing the factors set forth in <i>Golba v. Dick's Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251, 1272, and <i>Clark v. American Residential Services, LLC</i> (2009) 175 Cal.App.4th 785, 804. Each Plaintiff must provide an estimate of the hours spent participating in this litigation. Plaintiffs to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.
108	Gonzalez vs. U-HAUL CO. OF CALIFORNIA, 2021-01229571	Motion for Preliminary Approval of Class/PAGA Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. Accordingly, Plaintiffs Donny Sheldon, Thomas Gonzales, George Lyle, Diane Parker, Pamela Carroll, and Neisha Wayne's Motion for Preliminary Approval of Class Action and PAGA Settlement is GRANTED. This is a putative wage-and-hour class action and PAGA matter. On 11/2/2021, Plaintiff Thomas Gonzales, individually and on behalf of all others similarly situated, filed a class action and PAGA complaint against Defendant U-Haul Co. of California. (ROA #2.)

	On 8/3/2022, the Court granted Defendant’s motion to compel Plaintiff’s individual claims to arbitration, dismiss the class claims, and stay proceedings as to the representative PAGA claims pending arbitration. (ROA #40.) On 10/30/2023, Defendant notified the Court that Defendant had requested coordination of the instant action with two other similar actions that had been filed against Defendant in Alameda Superior Court: (1) <i>Sheldon v. U-Haul Co. of California</i>, Case No. 23CV035675 and (2) <i>Miles v. U-Haul Co. of California</i>, Case No. 23CV039574. (ROA #104.) On 4/3/2024, the parties reported that they “have agreed to schedule Mediation in an attempt to resolve this matter, and requested a stay of the Arbitration matter to be stayed while the Parties are discussing scheduling.” (ROA #114.) On 8/14/2024, the parties attended a first day of global mediation. The parties resumed mediation on 10/3/2024, and following a mediator’s proposal, the parties reached a settlement in principle on 10/17/2024. The parties executed a settlement term sheet on 12/30/2024. (See ROA #130; 140.) As part of the parties’ settlement, the parties stipulated for all plaintiffs to file a consolidated complaint in this action to effectively consolidate all claims and parties subject to the Class and PAGA settlement before this court. (ROA #146.) On 5/22/2025, Plaintiff Donny Sheldon, individually and on behalf of the class, and Plaintiffs Thomas Gonzales, George Lyle, Diane Parker, Pamela Carroll, and Neisha Wayne, individually and on behalf of the State of California and aggrieved employees, filed the operative, consolidated complaint alleging 17 causes of action for various Labor Code wage-and-hour violations, unfair business practices, and claims for PAGA penalties (ROA #149.) On 8/5/2025, Plaintiffs filed the instant motion for preliminary approval of the class action and PAGA settlement, and submitted the Class Action and PAGA Settlement Agreement and Class Notice for the Court’s review. The Motion seeks preliminary approval of the parties’ proposed settlement for the non-reversionary gross settlement amount (GSA) of \$7,750,000. On 1/15/2026, the Court continued the first hearing on the motion and asked Class Counsel to address various issues. (ROA #181.) Counsel submitted supplemental materials, including (1) an amended Class Action and PAGA Settlement Agreement (“Amended Settlement Agreement” (which was attached as Exhibit 1 to ROA #191); (2) an amended Class Notice (which was attached as Exhibit A to ROA #189); and (3) an amended proposed order (ROA #192). On 5/7/2026, the Court continued the second hearing on the motion and asked Class Counsel to address various issues. (ROA #196.) Counsel submitted additional supplemental materials, including a “Second Revised Class Action and PAGA Settlement Agreement” (“Second Revised Settlement Agreement”) (Exhibit 1 to ROA #209).
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Based on a review of all papers submitted, including the Amended Settlement Agreement, the Court finds the settlement falls within the range of what is considered fair and reasonable, subject to a final determination at the Final Approval hearing.

Within five (5) court days, Class Counsel must provide a further amended Proposed Order that is (1) not attached to a Notice of Errata but is a standalone document and (2) in ¶¶ 15 and 18, proposes an appropriate date for the Final Approval hearing given that this department hears Law & Motion matters on Thursdays.

The Motion for Final Approval will be set in accordance with the Court's Order Granting Preliminary Approval after Class Counsel proposes an appropriate date. All papers for the Motion for Final Approval must be filed and served no later than sixteen (16) court days before the hearing date. If Class Counsel cannot meet this deadline, then they must request a continuance of the hearing. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions.

At the Final Approval hearing, evidence supporting the request for an award of attorneys' fees should be presented in the form of time records or a summary of time spent on the substantive tasks, so as to enable the Court to evaluate the lodestar and costs claimed. Class Counsel should state by declaration whether time records were kept and created contemporaneously or otherwise. The Court also reminds Class Counsel that although a determination regarding the amount of the attorneys' fees award will not be made until final approval, the Court is unlikely to approve attorneys' fees in excess of thirty percent (30%) of the GSA absent unique circumstances. As a result, Class Counsel should address whether any such unique circumstances exist.

Also at the Final Approval hearing, Class Counsel must also disclose whether counsel has any fee-splitting arrangement with any other counsel, or confirm none exists.

Additionally, at the Final Approval hearing, each Plaintiff and Class Counsel must provide detailed declarations describing circumstances to justify the requested enhancement award and addressing the factors set forth in *Golba v. Dick's Sporting Goods, Inc.* (2015) 238 Cal.App.4th 1251, 1272, and *Clark v. American Residential Services, LLC* (2009) 175 Cal.App.4th 785, 804. Plaintiffs must each provide an estimate of the hours spent participating in this litigation.

Plaintiffs to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.

109	Gonzalez vs. Flood Management Services, Inc. 2024-01403048	Motion for Preliminary Approval of Class/PAGA Settlement The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. Accordingly, Plaintiff Michael P. Gonzalez’s Motion for Preliminary Approval of Class Action and PAGA Settlement is GRANTED. This is a putative wage-and-hour class action and PAGA matter. On 5/31/2024, Plaintiff Michael P. Gonzalez, individually and on behalf of all others similarly situated, filed a class action complaint against Defendant Flood Management Services, Inc. (ROA #2.) Defendant answered on 8/7/2024. (ROA #14.) The operative complaint is the first amended complaint, filed on 10/23/2024 pursuant to the parties’ stipulation and the court’s order, which alleges various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #30.) Defendant answered on 11/22/2024. (ROA #34.) On 9/23/2025, Plaintiff filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the Class Action and PAGA Settlement Agreement and Class Notice for the Court’s review. The motion seeks preliminary approval of the parties’ proposed settlement of Plaintiff’s class and PAGA claims for the non-reversionary gross settlement amount (GSA) of \$275,000. The GSA includes \$20,000 allocated for PAGA penalties. On 2/19/2026, the Court continued the first hearing on the motion and asked Class Counsel to address various issues. (ROA #57.) Counsel then submitted supplemental materials, including an amended version of the Class Action and PAGA Settlement Agreement and an amended Class Notice (ROA #62). On 5/21/2026, the Court continued the second hearing on the motion and asked Class Counsel to address various issues. (ROA #64.) Counsel then submitted supplemental materials, including a second amended version of the Class Action and PAGA Settlement Agreement (“2nd Amended Settlement”) and a further amended Class Notice (ROA #73). Based on a review of all papers submitted, including the Amended Settlement Agreement, the Court finds the settlement falls within the range of what is considered fair and reasonable, subject to a final determination at the Final Approval hearing. Within five (5) court days, Class Counsel must provide a further amended Proposed Order that (1) fills in the correct ROA number for counsel’s 2nd supplemental declaration attaching the Second Amended Settlement; (2) proposes a Final Approval hearing date that is on a Thursday, as this department hears Law & Motion on Thursdays; and (3)
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		states the correct deadline to file the Motion for Final Approval based on the new proposed hearing date. The Motion for Final Approval will be set in accordance with the Court’s Order Granting Preliminary Approval after Class Counsel proposes a realistic date. All papers for the Motion for Final Approval must be filed and served no later than sixteen (16) court days before the hearing date. If Class Counsel cannot meet this deadline, then they must request a continuance of the hearing. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. At the Final Approval hearing, evidence supporting the request for an award of attorneys’ fees should be presented in the form of time records or a summary of time spent on the substantive tasks, so as to enable the Court to evaluate the lodestar and costs claimed. Class Counsel should state by declaration whether time records were kept and created contemporaneously or otherwise. The Court also reminds Class Counsel that although a determination regarding the amount of the attorneys’ fees award will not be made until final approval, the Court is unlikely to approve attorneys’ fees in excess of thirty percent (30%) of the GSA absent unique circumstances. As a result, Class Counsel should address whether any such unique circumstances exist. Additionally, at the Final Approval hearing, Plaintiff and Class Counsel must provide detailed declarations describing circumstances to justify the requested enhancement award and addressing the factors set forth in <i>Golba v. Dick’s Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251, 1272, and <i>Clark v. American Residential Services, LLC</i> (2009) 175 Cal.App.4th 785, 804. Plaintiff must provide an estimate of the hours spent participating in this litigation. Plaintiff to give notice of this Court’s ruling, including to the LWDA, within five (5) court days, and file proof of service.
110	Fritch vs. The Coca-Cola Company 2023-01313737	1. Motion for Final Approval of Class/PAGA Settlement 2. Order to Show Cause re: Monetary Sanctions Motion for Final Approval The Court has reviewed the supplemental materials provided by Class Counsel and finds that they adequately address the previously identified issues. Accordingly, Plaintiff Nicole Fritch’s Motion for Final Approval of Class Action and PAGA Settlement is GRANTED. This is a putative wage-and-hour class action and PAGA settlement. On March 21, 2023, Plaintiff Nicole Fritch, on behalf of the State of California as a private attorney general (“Plaintiff”), filed a PAGA-only Representative Action Complaint against Defendant The Coca-Cola Company (“Defendant”). The Complaint sought PAGA penalties for underlying Labor Code violations, including failure to pay all minimum and overtime wages due, failure to provide meal periods or pay premium pay, failure to provide rest breaks of pay premium pay, failure to include incentive pay in calculating regular pay rate for purposes of overtime and meal and rest break

	premium pay, failure to provide accurate wage statements, failure to pay all sick wages, failure to pay all wages at separation, unlawful deductions, failure to reimburse for business expenses, and failure to provide adequate seating. On February 1, 2023, Plaintiff had filed a putative Class Action Complaint against Defendant, as Case No. 2023-01305257, asserting thirteen (13) causes of action for various wage-and-hour violations of the Labor Code, unfair competition, wrongful termination, and violations of the Fair Employment and Housing Act. On March 30, 2023, Defendant removed the Class Action to the U.S. District Court, Central District of California, as Case No. 8:23-cv-005760JWH-E, where it is currently pending. On April 16, 2024, the federal court granted the parties' stipulation to stay the Class Action. This Court had previously stayed the PAGA-only action on July 27, 2023, because of the then-pending Class Action. On August 27, 2024, Plaintiff filed a Motion for Preliminary Approval of Class Action and PAGA Settlement. On April 10, 2025, at the second hearing on the matter, the Court granted the motion. (ROA #150.) On April 15, 2025, the Court entered the signed order granting the motion. (ROA #155.) On September 24, 2025, pursuant to the parties' agreement, Plaintiff filed the operative First Amended Class and Representative Action Complaint. (ROA #173.) On August 29, 2025, Plaintiff filed the instant Motion for Final Approval of Class Action and PAGA Settlement. The Motion seeks approval of the Class Action and PAGA Settlement Agreement, as amended by the parties' Stipulation to Modify Class Action and PAGA Settlement (collectively, "Settlement"), which provides for the settlement of Plaintiff's class and PAGA claims for the non-reversionary Gross Settlement Amount (GSA) of \$1,500,000. The GSA includes \$30,000 allocated for PAGA penalties. On September 25, 2026, the Court continued the first hearing on the motion and asked Plaintiff's counsel to address various issues. (ROA #175.) Counsel submitted supplemental materials, including a supplemental declaration by the administrator. The Class is comprised of 931 Class Members, defined as: "all individuals currently or formerly employed by Defendant in California and classified as an hourly, non-exempt employee at any time during the Class Period, excluding any <i>Flores</i> Settlement Members who worked from February 1, 2019 to February 23, 2022, and whose employment terminated on or before February 23, 2022 and who has not been since rehired by Defendant The Coca-Cola Company." The Class or Settlement Period is February 1, 2019 through August 3, 2024. The Settlement also includes 528 PAGA Employees, defined as: "all Class Members who were employed by Defendant at any time during the PAGA
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Period, excluding any Flores Settlement Member who worked from February 1, 2019 to February 23, 2022 and whose employment terminated on or before February 23, 2022 and who has not been since rehired by Defendant The Coca-Cola Company.” The PAGA Period is January 10, 2022 through August 3, 2024.

On June 30, 2025, the settlement administrator, ILYM Group, Inc., sent class notices via U.S. mail to 931 Class Members. As of September 12, 2025, 62 class notices were returned to the administrator as undeliverable and without forwarding addresses. After skip tracing, 46 updated addresses were obtained, and those class notices were remailed. Therefore, 16 class notices were deemed undeliverable.

The administrator reports that as of September 12, 2025, three (3) valid requests for exclusion were received from Marlene N. Jones, Osvaldo Gomez and Terri Lee Ivers, who will not be bound by the judgment.

The administrator also reports that as of September 12, 2025, the administrator received one workweek dispute from a Class Member. Defense counsel confirmed that the number of workweeks on file is correct and that the Class Member included period when she did not perform any work for Defendant The Coca-Cola Company, including periods when she was on a leave of absence. However, because she had one time punch on one day during her leave of absence, she will be credited with one additional workweek. The administrator informed the Class Member of this resolution on September 9, 2025. As of October 6, 2025, the administrator had not heard anything further from the Class Member. Therefore, this dispute is deemed adequately resolved.

The administrator further reports that as of September 12, 2025, the administrator received zero (0) objections.

Therefore, 928 Class Members or 99.7% of the Class is participating in the Settlement.

The Court concludes that the \$1,500,000 settlement is fair, adequate, and reasonable, and in the best interests of the Class Members. The Court also concludes that the notice to the Class was adequate. Therefore, the Court certifies the defined Class for settlement purposes only.

The Court concludes that an attorneys’ fee award totaling \$450,000 or 30% of the GSA, constituting a 1.27 multiplier of the lodestar amount, is fair, adequate, and reasonable for a class and settlement of this size, including considering the action’s contingent nature and the results achieved.

The Court further concludes that a Class Representative Service Payment of \$5,000 is fair, adequate, and reasonable for a class and settlement of this size, considering that there was nothing extraordinary about Plaintiff’s contribution to the case.

Accordingly, the Court approves the following specific awards and disbursements:

- Attorneys' fees totaling \$450,000.00 awarded to Class Counsel;
- Litigation costs totaling \$34,371.36 awarded to Class Counsel;
- Settlement administration costs of \$10,950.00 awarded to ILYM Group, Inc.;
- Class Representative Service Payment of \$5,000.00 awarded to Plaintiff Nicole Fritch; and
- \$22,500.00 remitted to the Labor and Workforce Development Agency (LWDA) for its share of the PAGA penalties.

The Net Settlement Amount payable to all Class Members is \$977,178.64, including the \$7,500.00 in PAGA penalties to be distributed to the PAGA Employees, in accordance with the terms of the Settlement. Pursuant to the Settlement, Defendant is ordered to separately pay all employer payroll taxes owed on the wage portions of the individual settlement payments.

Within five (5) court days, Class Counsel must submit another revised Proposed Order and Judgment with the following revisions:

1. The specific awards and disbursements should be revised to reflect the amounts set forth in this order.
2. The correct hearing date must be listed in the caption and in the first paragraph of the order.

Final Accounting is set for October 14, 2027, at 2:00 p.m. in Department CX102. Counsel shall submit the final report of the settlement administrator regarding the status of the settlement administration no later than sixteen (16) court days prior to the hearing date. The final report must include all information necessary for the Court to determine the total amount of the settlement funds actually paid to the Class Members and all others in accordance with the Settlement Agreement, as well as the amount of unclaimed funds, if any, remitted to the State Controller's Unclaimed Property Fund. If the settlement funds are not completely disbursed by the report deadline, counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions.

Plaintiff is ordered to give notice of this ruling, including to the LWDA, and file proof of service within five (5) court days after entry of the Final Approval Order and Judgment.

2. OSC re Monetary Sanctions

The Court finds that counsel has provided substantial justification for failure to comply with the Court's 9/25/2025 order. (See ROA #205.) Therefore, the Court **VACATES** the OSC re Monetary Sanctions.

111	Mitchell vs. Thovan Hospitality, LLC 2024-01377755	Motion for Final Approval re Class/PAGA Settlement Plaintiff Daniel Mitchell’s Motion for Final Approval of Class Action and PAGA Settlement is CONDITIONALLY GRANTED, pending the resolution of the issues identified below. This is a putative wage-and-hour class action and PAGA matter. On 2/7/2024, Plaintiff Daniel Mitchell, individually and on behalf of all current and former similarly situated employees in the State of California, filed a Class Action and Representative Action Complaint against Defendants Thovan Hospitality, LLC; Agnes Restaurant & Cheesry; Thomas Kalb; Vanessa Tilaka; and Allan Liao (together, “Defendants”). (ROA #2.) The complaint asserts ten (10) causes of action for various violations of the Labor Code’s wage-and-hour provisions, as well as conversion, injunctive relief, and unfair business practices. On 6/4/2024, pursuant to stipulation and order, Plaintiff filed the operative First Amended Class Action and Representative Action Complaint (“FAC”), adding claim for PAGA penalties. (ROA #55.) On 6/18/2024, Defendants filed their Answer. (ROA #57.) On 7/8/2025, Plaintiff filed a Motion for Preliminary Approval of Class Action and PAGA Settlement. On 10/23/2025, at the second hearing on the matter, the Court conditionally granted the motion. (ROA #124.) On 11/19/2025, the Court entered the signed order granting the motion. (ROA #137.) On 7/8/2026, Plaintiff filed the instant Motion for Final Approval of Class Action and PAGA Settlement. (ROA #156.) Concurrently, Plaintiff filed a separate Motion for an Award of Attorneys’ Fees, Costs, and Enhancement Award to Daniel Mitchell. (ROA #161.) A separate motion was not necessary, as these awards are addressed as part of the Court’s order on the Motion for Final Approval. In any case, the request for attorneys’ fees and costs and Plaintiff’s enhancement was not initially supported by declarations from Plaintiff or Plaintiff’s counsel. Plaintiff belatedly filed these declarations on 7/17/2026, which is not 16 court days before the hearing but only 9 court days before. The Court previously ordered (ROA #146), and the Code of Civil Procedure also requires, that moving papers must be filed at least 16 court days before the hearing. Accordingly, SETS an Order to Show Cause re Monetary Sanctions against Class Counsel on August 27, 2026 at 2:00 p.m. in Department CX102 for counsel’s failure to comply with the Court’s previous order. Any response to the OSC must be filed at least 5 court days prior to the OSC hearing. Plaintiff’s Motion for Final Approval seeks approval of the Class Action and PAGA Settlement Agreement and Class Notice, as amended by Addendum #1 and Addendum #2 (collectively, “Settlement Agreement”), which provides for the settlement of Plaintiff’s class and PAGA claims for the non-
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reversionary gross settlement amount (“GSA”) of \$245,342.59 after the triggering of the escalator clause and the initial \$240,000.00 GSA was increased. The GSA includes \$20,000 allocated for PAGA penalties.

The Class is comprised of 302 Class Members, defined as “all current and former non-exempt employees of Defendants in California who worked for Defendants during the Class Period.” The Class Period is 2/7/2020 to 3/28/2025.

The settlement also includes 170 Aggrieved Employees, defined as “all current and former non-exempt employees of Defendants in California who worked for Defendants during the PAGA Period.” The PAGA Period is 2/6/2023 through 3/28/2025.

The settlement administrator, Apex Class Actions, LLC, reports as follows:

- On 1/20/2026, the administrator sent class notices via U.S. Mail to 302 Class Members, including 170 Aggrieved Employees .
- As of 7/8/20026:
 - 27 notices were returned as undeliverable. After skip tracing, administrator obtained updated addresses for and remailed 22 notices, and 5 notices remain undeliverable.
 - One request for exclusion was received from Malakai Monterrosa, who will not be bound by the judgment in this case.
 - No objections or workweek disputes were received.

Therefore, 99.7% of the Class is participating in the settlement.

The Court concludes that the \$245,342.59 settlement is fair, adequate, and reasonable, and in the best interests of the Class Members. The Court also concludes that the notice to the Class was adequate. The Court also certifies the defined Class for settlement purposes only.

The Court concludes that an attorneys’ fee award totaling \$73,602.77 or 30% of the GSA, constituting a 0.25 multiplier against the lodestar amount, is fair, adequate, and reasonable for a class and settlement of this size, including considering the action’s contingent nature and the results achieved.

The Court also concludes that litigation costs should not include overhead or nonrecoverable items such as postage and legal research costs. The Court also notes that although Plaintiff’s moving papers and counsel’s declaration states that Plaintiff is requesting \$18,715.00 in costs, the actual cost report submitted in support of the request shows that counsel incurred \$18,715.73. Counsel does not explain this \$0.73 discrepancy. In any case, the Court deducts \$480.00 for overhead costs from the \$18,715.73 reflected in the cost report.

The Court further concludes that a Class Representative Service Payment of \$5,000 is fair, adequate, and reasonable for a class and settlement of this

		size, considering that there was nothing extraordinary about Plaintiff's contribution to the case. The Court has identified the following minor issue with the moving papers, which must be addressed by Class Counsel before the Court will sign the Order Granting Final Approval and Judgment: 1. Counsel has failed to attest as to whether there are any fee-splitting agreements with any other counsel. These issues must be addressed by Class Counsel within five (5) court days. Upon resolution of this issue, the Court will grant the instant motion and approve the following specific awards and disbursements from the GSA: • Attorneys' fees totaling \$73,602.77 awarded to Class Counsel; • Litigation costs totaling \$18,235.73 awarded to Class Counsel; • Settlement administration costs of \$8,500.00 awarded to Apex Class Action, LLC; • Class Representative Service Payment of \$5,000.00 awarded to Plaintiff Daniel Mitchell; and • \$15,000.00 remitted to the Labor and Workforce Development Agency (LWDA) for its share of the PAGA penalties. The Net Settlement Amount payable to all Class Members is \$125,004.09, including the \$5,000.00 in PAGA penalties to be distributed to the Aggrieved Employees, in accordance with the terms of the Settlement Agreement. Pursuant to the Settlement Agreement, Defendant is ordered to separately pay all employer payroll taxes owed on the wage portions of the individual settlement payments. Within five (5) court days, Class Counsel must also submit a revised Proposed Order of Final Approval and Judgment with the following revisions: 1. The specific awards and disbursements should be revised to reflect the amounts set forth in this order. 2. The proposed order and judgment should identify the Settlement Agreement by its actual name. 3. The proposed order and judgment should reference by name and ROA number the declaration(s) to which the Settlement Agreement and any amendments thereto are attached. 4. Counsel should also consistent about using the same term to refer to the same thing (e.g., counsel should not use "Agreement," "Settlement Agreement," and "Settlement" as different capitalized terms to refer to the same thing). 5. The proposed order and judgment should identify by name the one class member who opted out and thus will not be bound by the judgment. 6. The proposed order and judgment should also state that no class members submitted workweek disputes.
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		7. Counsel should propose a specific, realistic Final Accounting hearing date, taking into account the deadlines associated with funding the settlement, mailing distributions, allowing the check-cashing deadline to pass, and depositing uncashed check funds pursuant to the terms of the Settlement Agreement. The Court usually sets these hearings 9-10 months after final approval if the check-cashing deadline is 180 days. The parties must report to the Court the total amount that was actually paid to class members and all others in accordance with the Settlement Agreement. All supporting papers must also be filed at least sixteen (16) court days before the Final Accounting hearing date. 8. The proposed order and judgment should state that the settlement administrator's final report should be filed at least 16 court days before the Final Accounting hearing, not 5 court days. Final Accounting will be set in accordance with the Court's Order of Final Approval and Judgment after Class Counsel proposes a realistic date. Counsel shall submit the final report of the settlement administrator regarding the status of the settlement administration no later than sixteen (16) court days prior to the hearing date. The final report must include all information necessary for the Court to determine the total amount of the settlement funds actually paid to the Class Members and all others in accordance with the Settlement Agreement, as well as the amount of unclaimed funds, if any, remitted to the State Controller's Unclaimed Property Fund. If the settlement funds are not completely disbursed by the report deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff is ordered to give notice of this ruling, including to the LWDA, and file proof of service within five (5) court days.
113	Barrons vs. Smith Linden & Basso, LLP 2013-00648240	1.Motion for Summary Judgment and/or Adjudication (ROA 2115) – Davies DEF [MOOT BASED ON NOS AND NOTICE OF WITHDRAWAL] 2.Motion for Summary Judgment and/or Adjudication (ROA 2205) – Basso DEF 3.Trial Readiness Conference Defendants Smith, Linden, & Basso LLP; Allen L. Basso; and Allen A. Basso's (collectively, the "Basso Defendants") motion for summary judgment is DENIED. 1. Evidentiary Objections "In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion." (Code Civ. Proc. [CCP], § 437c, subd. (q).)

Accordingly, the Court rules as follows on Plaintiffs' Evidentiary Objections (ROA #2166):

- Basso Declaration (ROA #2049):
 - Objections #1-18 are **SUSTAINED** to the extent the declaration seeks to use testimony to prove the contents of a writing. (Evid. Code, § 1523, subd. (a).)

As the Court did not consider, in ruling on this motion, the other evidence objected to by the parties, the Court does not rule on those objections.

2. Procedural Issue re Plaintiffs' Status

As an initial matter, the Basso Defendants contend that there is no party who has standing to defend this motion because (1) James G. Barrons died on 3/29/2017 and (2) there has been no "formal order allowing a legally qualified personal representative of Linda Barrons" despite her "legal incapacity." (ROA #2042 [Mot. P&A], pp. 1-2.) Accordingly, the Basso Defendants contend that the motion should be granted on this basis alone. (*Id.* at p. 1.)

The Basso Defendants are correct that **James G. Barrons** died on 3/29/2017. This fact is alleged in the operative Fifth Amended Complaint ("5AC") at ¶ 1 (ROA #1150), and Plaintiffs do not dispute this fact in their Response to Separate Statement of Undisputed Facts relating to the instant motion (ROA #2149).

Under California law, "a cause of action for or against a person is not lost by reason of the person's death but survives subject to the application limitations period." (Code Civ. Proc. [CCP], § 377.20, subd. (a).) "A pending action or proceeding does not abate by the death of a party if the cause of action survives." (CCP, § 377.21) "On motion after the death of a person who commenced an action or proceeding, the court shall allow a pending action or proceeding that does not abate to be continued by the decedent's personal representative or, if none, by the decedent's successor in interest." (CCP, § 377.31.)

Here, no such motion to substitute has been filed following James G. Barrons's death. This is a "procedural irregularity" that should be addressed, but the Court still has jurisdiction over the case. (*Sellery v. Cressye* (1996) 48 Cal.App.4th 538, 541, fn. 2.) Accordingly the Court **ORDERS** Plaintiffs' counsel to forthwith file a motion to substitute a proper plaintiff in place of James G. Barrons.

As for **Linda M. Barrons**, the Basso Defendants are simply incorrect that the Court has not entered a formal order appointing a guardian ad litem for her, as this order was entered on 9/3/2025. (See ROA #2012.) This is at least the second time that counsel for the Basso Defendants has made arguments that are unavailing because of a failure to carefully review the record in this case. (See ROA #2034 [Court's 12/18/2025 minute order denying Defendant Allen A. Basso's motion to dismiss for lack of prosecution for failure to serve within three years, finding that moving

defendant had made three filings that constituted moving defendant's general appearance in the action years prior[.]) The Court therefore **ADMONISHES** the Basso Defendants' counsel to more carefully review the record in this case before making arguments about previous filings.

3. Merits

a. General Legal Standard for Summary Judgment

"The purpose of a summary judgment proceeding is to permit a party to show that material factual claims arising from the pleadings need not be tried because they are not in dispute." (*Cal. Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630, internal quotes, citations, & ellipses omitted; see also CCP, § 437c, subd. (c).)

The party moving for summary judgment "bears the burden of persuasion that there is no triable issue of material fact and that the moving party is entitled to judgment as a matter of law." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; see also CCP, § 437c, subd. (c).)

Summary judgment for a defendant is proper if the defendant can present evidence to negate the plaintiff's claim by demonstrating that the plaintiff cannot prove an element of the claim or that the defendant has a complete defense. (CCP § 437c, subd. (p)(2); *Aguilar, supra*, 25 Cal.4th at pp. 850-851.) "If the moving defendant argues that it has a complete defense to the plaintiff's cause of action, the defendant has the initial burden to show that undisputed facts support each element of the affirmative defense. Once it does so, the burden shifts to plaintiff to show an issue of fact concerning at least one element of the defense." (*Bacon v. Southern Cal. Edison Co.* (1997) 53 Cal.App.4th 854, 858.)

Importantly, however, "[i]f, in anticipation of an affirmative defense, the complaint alleges facts to refute it, the pleadings themselves create a material issue which defendant would have to refute in order to obtain summary judgment." (*Id.*, internal quotes & brackets omitted, quoting *Westlye v. Look Sports, Inc.* (1993) 17 Cal.App.4th 1715, 1739-1740.)

The initial burden of production is to make a prima facie showing, which is "one that is sufficient to support the position of the party in question. No more is called for." (*Aguilar, supra*, 25 Cal.4th at p. 851 [internal citation omitted].)

If the defendant fails to meet this initial burden, the plaintiff need not oppose the motion, and the motion must be denied. (*Binder v. Aetna Life Insurance Co.* (1999) 75 Cal.App.4th 832, 840.) But if the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. (CCP § 437c, subd. (p)(2); *Aguilar, supra*, 25 Cal.4th at pp. 850-851.)

The moving party's evidence is to be strictly construed, while the opposing party's evidence is to be liberally construed. (*Johnson v. Super. Ct.* (2006) 143 Cal.App.4th 297, 308.)

The trial court may not weigh the evidence or evaluate credibility. (*Binder, supra*, 75 Cal.App.4th at p. 840.) “The court must consider not only the bare evidence, but also the reasonable inferences deducible from the evidence, and determine whether the evidence is sufficient to support a potential judgment in favor of the opposing party.” (*Id.*, internal citations omitted.)

b. Application

The Basso Defendants move for summary judgment on the sole ground that the applicable statutes of limitations bar all of Plaintiffs’ claims. (ROA #2205 [Not. of Mot. & Mot.], p. 2.)

In anticipation of this exact defense, Plaintiffs’ 5AC includes an entire section on “Delayed Discovery and Estoppel Against Defendants to Assert Statute of Limitations Defenses,” in which Plaintiffs alleged that Defendants’ misrepresentations, made in 2006 at the time Plaintiffs made the subject investments, tolled the statutes of limitations until Plaintiff discovered Defendants’ deceit in March 2013. (5AC at ¶¶ 152-169.)

“Generally speaking, a cause of action accrues at the time when the cause of action is complete with all of its elements.” (*Fox v. Ethicon* (2005) 35 Cal.4th 797, 806, internal quotes omitted.)

“An important exception to the general rule of accrual is the ‘discovery rule,’ which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action.” (*Id.* at p. 807.) “A plaintiff has reason to discover a cause of action when he or she has reason at least to suspect a factual basis for its elements.” (*Id.*, internal quotes omitted.)

Thus, “[u]nder the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her.” (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1110.) “[T]he limitations period begins once the plaintiff has notice or information of circumstances to put a reasonable person *on inquiry*.” (*Id.* at pp. 1110-1111, internal quotes omitted, emphasis original.) “A plaintiff need not be aware of the specific ‘facts’ necessary to establish the claim; that is a process contemplated by pretrial discovery. Once the plaintiff has a suspicion of wrongdoing, and therefore an incentive to sue, she must decide whether to file suit or sit on her rights. So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her.” (*Id.* at p. 1111.)

In order to rely on the discovery rule for delayed accrual of a cause of action, a plaintiff bears the burden of alleging in the complaint, as well as proving at trial, “(1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.” (*Fox, supra*, at p. 807 [elements]; see also *William L. Lyon & Associates* (2012) 204 Cal.App.4th 1294, 1310, internal quotes omitted [burden of proof at trial].)

However, here, on the Basso Defendants’ motion for summary judgment, since Plaintiffs anticipated the Basso Defendants’ statute of limitations defense and alleged facts in the operative complaint to refute it, Plaintiffs’ complaint sufficiently creates a material issue on delayed discovery which the Basso Defendants must refute in order to obtain summary judgment. (*Bacon, supra*, 53 Cal.App.4th at p. 858, quoting *Westlye, supra*, 17 Cal.App.4th at pp. 1739-1740.)

The parties do not dispute that unless the discovery rule applies, Plaintiffs’ claims in this action are barred by the applicable statutes of limitations. (See Mot. P&A at pp. 11-12; ROA #2145 [Opp.], pp. 6-9.) Instead, the parties disagree as to whether the investment materials Plaintiffs received in 2006 were sufficient to put Plaintiffs on inquiry notice of their injury.

The crux of Plaintiffs’ claims is that Defendants misrepresented the value of Plaintiffs’ investments and Plaintiff’s upfront costs for the Eaton and Aero Vault tenant-in-common (“TIC”) investments by initially negotiating a “true” purchase price with each property seller and then increasing or “grossing up” the “final” purchase price to include a “markup” that constituted a “syndication fee” paid to Asset Management Consultants, Inc. (“AMC”), while disguising this markup as a “commission” paid by the seller. (See Opp. at pp. 2-3.) Plaintiffs contend that had they known their true upfront costs for the investment, including the hidden “syndication fee” that they ultimately paid because the sellers did not actually pay this amount as a “commission,” Plaintiffs would not have invested. (*Id.* at p. 3.) Plaintiffs contend that they did not discover Defendants’ misconduct until March 2013. (*Id.*)

The Basso Defendants contend that the confidential private placement memoranda (“PPMs”) for the Eaton and Aero Vault TIC investments (ROA #2046, Exhs. 1-2), which Plaintiffs received in 2006, sufficiently put Plaintiffs on inquiry notice of this markup/syndication fee. (Mot. P&A at pp. 8-10.) Notably, these are the only investment materials presented by the Basso Defendants in their separate statement in support of this motion. (See ROA #2044, [SSUMF], ¶¶ 10-30; see also *Roger H. Proulx & Co. v. Crest-Liners* (2002) 98 Cal.App.4th 182, 198 [“only those facts set forth in the separate statement are relevant when determining whether summary judgment should be granted”]; *United Community Church v. Garcin* (1991) 231 Cal.App.3d 327, 336, internal quotes omitted, emphases original [“all material facts must be set forth in the separate statement. This is the Golden Rule of Summary Adjudication: if it is not set forth in the separate statement, *it does not exist*. Both the court and the opposing party are entitled to have all the facts upon which the moving party bases its motion plainly set forth *in the separate statement*”].)

In support of the Basso Defendants’ argument about the Eaton and Aero Vault TIC investment materials, the Basso Defendants rely on two published Court of Appeal cases that involved similar investments and claims: (1) *WA Southwest 2, LLC v. First American* (2015) 240 Cal.App.4th 148; and (2) *Stella v. Asset Management Consultants* (2017) 8 Cal.App.5th 181. (Mot. P&A at pp. 13-15.)

The Basso Defendants repeatedly contend that these cases are “binding precedent” because the PPMs at issue in this case contain the “same” or “identical language” as the relevant language of the investment materials in *Stella* and “nearly identical” language as the relevant language in *WA Southwest*, which those courts found “dispositive” in holding, as a matter of law, that plaintiffs were put on inquiry notice of the markup/syndication fees when plaintiffs first received the investment materials. (*Id.* at pp. 5, 7, 9, 14-15; see also SSUMF at #20-21; ROA #2185 [Reply], p. 4-5.)

But the Basso Defendants are flat out wrong that the relevant language of the investment materials in *Stella* is the “same” as or “identical” to the language use in the PPMs here.

In *Stella*:

The Risk Factors section of the private placement memorandum contained the following caution in its listing of “operating risks”: “Market Value of Property. The purchase price of the Property *has been negotiated to* include a commission to be paid to Manager of the General Partner of the General Partner's Manager by the Seller (see ‘General Partner's Compensation and Fees’) *in addition to other brokerage commissions owed by the Seller*. Accordingly, the Seller would have sold the Property for a lower Purchase Price if it were not obligated to pay such commission. Although the General Partner believes that the Purchase Price fairly corresponds to the market value of the Property, and it is expected that the Property will be appraised for that amount by the lender financing the acquisition, there is no assurance that the Partnership will be able to sell the Property for such amount.”

(*Stella, supra*, 8 Cal.App.5th at p. 186, underlining original, bolding & italics added.)

Here, in contrast, the “Risk Factors” section of the PPMs states:

Market Value of Property. The purchase price of the Property being acquired by the Co-Owners *includes* a commission to be paid to AMC by the Seller (see “Manager's Compensation and Fees”). Accordingly, the Seller would have sold the Property for a lower Purchase Price if it were not obligated to pay such commission. Although the Manager believes that the Purchase Price fairly corresponds to the market value of the Property, and it is expected that the Property will be appraised for that amount by the lender financing the acquisition, there is no assurance that the Co-Owners will be able to sell the Property for such amount. *Additionally, the purchase price paid by the Co-Owners includes an acquisition premium to be paid to Manager.*

		(ROA #2046, Exh. 1 at p. 24 of PDF, Exh. 2 at p. 27 of PDF, underlining original, bolding & italics added.)² The bolded and italicized language above in both <i>Stella</i> and this case demonstrate the important differences that render <i>Stella</i>'s holding inapplicable here. Although the Court acknowledges that <i>Ahern v. Chicago Title Co.</i> (Cal. Ct. App., May 20, 2021, No. B304119) 2021 WL 2008170—<i>cited by both the Basso Defendants at Mot. P&A at pp. 15-16 and by Plaintiffs at Opp. at pp. 10-11</i>—is an unpublished opinion and therefore may not be relied upon by the parties or this Court for any binding or persuasive value, the Court nevertheless notes that <i>Ahern</i> explicitly found that the language in <i>Stella</i> differs materially from the language at issue here: This disclosure to the prospective tenancy-in-common investors has two significant differences from the limited partnership disclosure [analyzed in <i>Stella</i>]. First, rather than specifically stating the purchase price for the property “has been negotiated to include a commission” to be paid to AMC by the seller, it simply states the purchase price includes a commission to be paid by the seller. Second, the final sentence of the tenancy-in-common disclosure, which expressly states the investors are funding an acquisition premium to be paid to AMC that is included in the price of their interests, is not included in the <i>Stella</i> disclosure. ... As <i>Ahern</i> alleges in the operative pleading, AMC acted as the investors' real estate broker in the Amlap and Aerovault transactions and, as such, was responsible for negotiating the best purchase price available to the investors. In a conventional real estate transaction the seller pays the commissions of both the seller's broker and the buyer's broker from the proceeds of the sale. The payment of commissions, therefore, reduces the seller's net proceeds from the sale. In this traditional scenario a willing seller relieved of the obligation to pay commissions should be amenable to selling the property at a lower price. The net proceeds will be the same in both situations. But the extent of the seller's obligations to pay commissions should be irrelevant to the buyer, who is interested in what it needs to pay, not how much the seller nets, unless the seller's commission obligation has been shifted to the buyer. In that circumstance, however, the willing buyer who assumes the unconventional obligation to pay a
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² The Court also notes that the Basso Defendants **misquoted** this language from the PPMs at issue in this case both in their moving memorandum of points and authorities at p. 10 and in their separate statement at ¶ 27. Even though Plaintiffs pointed this out in their opposition at p. 12 and in their response to the separate statement at ¶ 27, the Basso Defendants do not even acknowledge this point in their reply. The Court **ADMONISHES** the Basso Defendants for misrepresenting to this Court what the PPMs at issue in this case actually state.

commission to its broker should be prepared to offer the seller less, not more, to buy the property or be willing for the cost of the acquisition to increase above fair market value.

Against this background, the risk factor disclosure in *Stella* and the case at bar that the seller would have sold the property for a lower purchase price if not obligated to pay a commission to AMC, **without more**, was tautological. **What gave that statement significance and provided notice of the fraud in *Stella* was the additional disclosure that the purchase price actually had been negotiated to include the commission.** (*Stella*, supra, 8 Cal.App.5th at p. 193.) In a conventional transaction the purchase price always includes a commission to be paid the buyer's broker by the seller, the anodyne statement in the tenancy-in-common offering materials. **To actually negotiate the sale price to include a buyer's commission, however, is highly unusual and therefore should have warned the sophisticated investors in *Stella* that further investigation was necessary.** (*Ibid.*) Indeed, our holding in *Stella* repeatedly referred in the plural to the “disclosures” and “statements” as providing notice, not just to the single, essentially economically meaningless statement relied upon by Chicago Title that the seller would have sold the property for a lower price without the commission to AMC. (*Ibid.*)

The misleading nature of the commission disclosure to the tenancy-in-common investors was **exacerbated by the negative pregnant of the final sentence in this paragraph of the risk factor disclosures. By expressly stating an acquisition premium to be paid to AMC was included in the price of the tenant-in-common interests being paid by each investor, but not explaining the purchase price of the property itself has been grossed-up to make the investors also responsible for paying the commission to AMC, the paragraph implied the opposite was true and that, as would be typical, the buyer's broker's commission reduced the actual purchase price received by the seller.**

(*Ahern*, supra, 2021 WL 2008170, at *8-9, italics original, bolding added.)

As the Basso Defendants cited *Ahern* in their moving memorandum of points and authorities, they should have re-reviewed the relevant language at issue here and more carefully compared it to the relevant language at issue in *Stella* before claiming in their papers that the relevant language is the “same” or “identical.” Accordingly, the Court **ADMONISHES** counsel for the Basso Defendants for misrepresenting to this Court that the relevant language considered in *Stella* is the “same” as or “identical” to the relevant language in this case.

To be sure, nor is the relevant language of the investment materials in *WA Southwest* remotely similar, much less “nearly identical” as the Basso Defendants claim, to the relevant language at issue here:

The first page of the private placement memorandum set forth the highlights of the investment offering. Acquisitions expected to

		purchase the Property from its prior owners for “\$11,600,000, plus closing costs, financing costs, and related transactional costs.” Acquisitions offered investors the opportunity to purchase tenancy in common ownership interests in the Property. A 1 percent interest consisted of \$50,500 of equity (i.e., cash), paired with an \$81,200 share of debt. The maximum offering amount was \$5.05 million of equity and \$8.12 million of debt (in the form of a nonrecourse loan to be obtained by Acquisitions). Obviously, the “Investment Cost” (\$13.17 million — \$5.05 million equity plus \$8.12 million debt) to be collected by defendants exceeded the purchase price of the Property (\$11.6 million). The first page of the summary of offering terms in the private placement memorandum stated, “The Investment Cost consists of the purchase price of \$11,600,000 payable to the seller plus the costs described herein, including: (i) the Acquisition Fee of \$505,000 payable to Acquisitions for identifying and analyzing the Property, negotiating the contract to purchase the Property and assigning the purchase contract to the Purchasers; (ii) selling commissions and due diligence allowances; (iii) organizational and offering expenses; (iv) loan costs and fees payable to the Lender; (v) closing costs ...; (vi) working capital reserves ...; and (vii) \$300,000 in reserves which Acquisitions expects the Lender will withhold from Loan proceeds.” The private placement memorandum also included a detailed chart setting forth the estimated use of investment proceeds, including a scenario in which the full \$5.05 million of “equity” was raised (as happened here). In this scenario: \$3.78 million (74.9 percent) would be used as a down payment on the Property; \$505,000 (10 percent) would be used to pay an acquisition fee to Acquisitions; \$353,500 (7 percent) would be used to pay selling commissions; \$138,800 (2.75 percent) would be held in reserve; \$126,250 (2.5 percent) would be used to pay loan fees, loan costs, and closing costs; \$95,950 (1.9 percent) would be used for organization and offering expenses; and \$50,500 (1 percent) would be allocated for marketing and due diligence expenses. The chart did not, however, classify all of the expenses the same way. Three categories of expenses (amounting to 9.9 percent) were subtracted from the gross offering proceeds of \$5.05 million, resulting in a line item (labeled “Available for Investment”) of \$4,550,050. Below this line, the remaining fees and expenses were accounted for, including the down payment on the Property and the \$505,000 fee paid to Acquisitions. A footnote to the chart, emphasized by plaintiffs at oral argument, stated: “Acquisitions will receive an Acquisition Fee of \$505,000 (based on the Maximum Offering Amount) for identifying and analyzing the Property, negotiating the contract to purchase the Property, and assigning the contract to the Purchasers.... Acquisitions will defer any unpaid portion of the Acquisition Fee if the Maximum Offering Amount is not raised. <i>Therefore, the value of the Property</i>
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and the related proceeds to be raised in this offering should be considered increased by this additional cost.” (Italics added.)

In the section of the private placement memorandum discussing risk factors, the following disclosure was made: “Acquisitions intends to purchase the Property for \$11,600,000, plus closing costs, financing costs, and related transactional and offering costs.... **The purchase price for the [investments] is determined unilaterally by Acquisitions and [a related company]. The purchase price likely does not reflect the current market value of the Property and is not based on an arms length negotiation with the [investors] or supported by an appraisal of the Property. In fact, the total purchase price for the [investments] will be significantly higher than the price to be paid by Acquisitions in its acquisition of the Property from the Seller. Based on the foregoing, the [investors] should not, therefore, anticipate or expect that the price paid for their investment is reflective of the fair market value of the Property on a stand-alone basis.** The [investors] are, however, acquiring their [investments] based on the existence of the financing and the Management Agreement and the management expertise provided thereunder by the Property Manager. **Nevertheless, there is no evidence that such additional rights support the increase in the purchase price.”**

(*WA Southwest, supra*, 240 Cal.App.4th at pp. 153-155, italics original, bolding added.)

Therefore, the Court also **ADMONISHES** counsel for the Basso Defendants for misrepresenting to this Court that the relevant language considered in *WA Southwest* is “nearly identical” to the relevant language in this case.

At bottom, although the words used in the PPMs in this case are undisputed, the Court cannot find, *as a matter of law*, that those words were sufficient to put Plaintiffs on inquiry notice of their injury in 2006.

The Basso Defendants contend that the Eaton PPM at issue here “disclosed in detail that the purchase price of \$52,150,000 includes a \$1,750,000 real estate commission ‘to be paid by the seller to AMC’” (Mot. P&A at p. 16, citing SSUMF at #29) and that the Aero Vault PPM at issue here “disclosed in detail that the purchase price of \$27,885,000 includes a \$1,250,000 real estate commission ‘to be paid by the seller to AMC’” (*id.*, citing SSUMF #30). The referenced pages in the PPMs describe these amounts as “real estate commission to be paid by Seller to AMC at Closing for representing the Co-Owners.” (ROA #2046, Exh. 1 at p. 22, Exh. 2 at p. 22.) Given that in a typical real estate transaction, it is common for sellers to pay a buyer’s representative commissions, but it is not common for a buyer to then go back the seller, after negotiating an initial purchase price for the property, to inform the seller that the buyer will then be “gross[ing] up” the initially agreed-upon purchase price to cover certain TIC and startup costs” that the buyer also acknowledges the “Buyer will cover . . . as a result of this procedure” (see 5AC, ¶ 84.i.), the PPMs’ language did not sufficiently, *as a matter of law*, put Plaintiffs on inquiry notice that Plaintiffs should have

suspected these amounts were anything other than normal buyer's-representative commissions that sellers pay out of the initially agreed-upon purchase price for the property.

The Basso Defendants also rely on the PPMs' statement that "the Seller would have sold the Property for a lower Purchase Price if it were not obligated to pay such a commission." (Mot. P&A at p. 17, citing SSUMF at #27.) But, as noted above, that sentence, which also begins with "Accordingly," appears right after a sentence that simply states, "The purchase price of the Property being acquired by the Co-Owners includes a commission to be paid to AMC by the Seller (see 'Manager's Compensation and Fees')." (ROA #2046, Exh. 1 at p. 24, Exh. 2 at p. 27.) Again, describing the "grossed-up" amount as merely "a commission to be paid to AMC by the seller" does not sufficiently, *as a matter of law*, put Plaintiffs on inquiry notice that Plaintiffs should have suspected these amounts were anything other than normal buyer's-representative commissions that sellers pay out of the initially agreed-upon purchase price for the property. Moreover, the "Manager's Compensation and Fees" section referenced in the first sentence also does not put Plaintiffs on such inquiry notice *as a matter of law*, as that section merely repeats that "[t]he seller of the Property will pay to AMC, through escrow, a \$1,750,000 [or \$1,250,000] real estate commission at closing of the acquisition in connection with the Co-Tenancy's purchase of the Property." (*Id.* at Exh. 1 at p. 32, Exh. 2 at p. 35.)

The Basso Defendants also contend that the Eaton PPM disclosed the "Total Capitalization" as \$53,224,700 and the Aero Vault PPM disclosed the "Total Capitalization" as \$28,668,700, which are "amounts exceed[ing] the underlying contract price[s] that w[ere] disclosed." (Mot. P&A at p. 16, citing SSUMF at #28.) However, \$53,224,700 minus the purchase price of \$52,150,000 is \$1,074,700, which is not the same as \$1,750,000; and \$28,668,700 minus the purchase price of \$27,885,000 is \$783,700, which is not the same as \$1,250,000. Therefore, the "Total Capitalization" amounts also do not, *as a matter of law*, put Plaintiffs on sufficient inquiry notice that Plaintiffs should have suspected the \$1,750,000 and \$1,250,000 "real estate commission[s] to be paid to AMC by the Seller at closing for representing the Co-Owners" was actually an upfront cost Plaintiffs had to bear as part of their "Total Capitalization."

The Basso Defendants further contend that "[t]he materials warned that TIC interests were speculative and investors must rely on their own evaluation." (Mot. P&A at p. 17, citing SSUMF at #22, 26.) However, these generic warnings are also insufficient, *as a matter of law*, to put Plaintiffs on inquiry notice of Defendants' "grossing up" the purchase price to include a markup/syndication fee.

Finally, the Basso Defendants also contend that "the offering packages prohibited reliance on oral representations." (*Id.* at p. 17, citing SSUMF at #21-30.) But it does not matter what oral representations were made, as the offering packages themselves are insufficient, *as a matter of law*, to put Plaintiffs on inquiry notice.

		Therefore, the Basso Defendants have failed to satisfy their initial burden of proof as well as their ultimate burden of persuasion that they are entitled to summary judgment based on the applicable statutes of limitations. Plaintiffs to give notice of this ruling.
114	Kornievsky vs. Smith Linden & Basso, LLP 2013-00635667	1. Motion for Summary Judgment and/or Adjudication (ROA 2290)- Davies DEF [MOOT BASED ON NOS AND NOTICE OF WITHDRAWAL] 2. Motion for Summary Judgment and/or Adjudication (ROA 2247)- Basso DEF 3. Trial Readiness Conference Defendants Smith, Linden, & Basso LLP; Allen L. Basso; and Allen A. Basso's (collectively, the "Basso Defendants") motion for summary judgment is DENIED. The Court does so for the same reasons as stated in the Court's ruling on the Basso Defendants' substantially similar motion in the related case <i>Barrons v. Smith Linden & Basso, LLP</i>, Case No. 2013-00648240. Accordingly, the Court incorporates that ruling by reference here. The Court rules as follows on Plaintiffs' Evidentiary Objections (ROA #2342): • Basso Declaration (ROA #2245): ○ Objections #2-9 are OVERRULED. The Court also notes that Plaintiffs submitted these same pages as part of Plaintiffs' more complete versions of the exhibits. ○ Objections #10, 12-33 are SUSTAINED to the extent the declaration seeks to use testimony to prove the contents of a writing. (Evid. Code, § 1523, subd. (a).) As with the Basso Defendants' moving papers in the related <i>Barrons</i> case, the Basso Defendants' moving papers here repeatedly and incorrectly contend that "Private Placement Memorandums of each of the investments in this case . . . contain . . . the exact same disclosure language found dispositive in <i>Stella [v. Asset Management Consultants, Inc. (2017) 8 Cal.App.5th 181]</i>," describing the two as "identical." (ROA #2239, Mot. P&A at p. 3 [also describing the relevant language in this case as containing "identical language found as dispositive in . . . <i>WA Southwest [2, LLC v.</i>

		<i>First American</i> (2015) 240 Cal.App.4th 148]”]; see also <i>id.</i> at pp. 4, 11-12, 17-18, 20.) Also as with the Basso Defendants’ moving papers in <i>Barrons</i>, the Basso Defendants here misquote the Private Placement Memoranda (“PPMs”) of the relevant investments as including the “negotiated to include” language that was critical to the <i>Stella</i> court’s holding (<i>id.</i> at p. 12; see also ROA #2237, SSUMF, ¶ 35), even though such language does not actually appear in the PPMs here (ROA #2046, Exh. 3 at p. 19 of PDF, Exh. 3A at p. 4 of PDF, Exh. 3B at p. 3 of PDF, Exh. 3C at p. 4 of PDF, Exh. 3E at p. 4 of PDF, Exh. 3F at p. 4 of PDF, Exh. 3G at p. 3 of PDF; ROA #2160, Exh. 121 at p. 24 of PDF). When called out on this misquoting by Plaintiffs’ opposition papers, the Basso Defendants’ reply brief in this case at least acknowledges the misquoting. (ROA #2382, Reply, p. 4.) However, the Basso Defendants brushed it off by contending that “[t]hese minor citation corrections do not affect the substance of the Motion.” (<i>Id.</i>) But the differences in the investment materials’ language are not “minor.” For all the reasons the Court explained in its ruling in the related <i>Barrons</i> case, the Basso Defendants are wrong about the significance of the omissions of the “negotiated to include” language and other language in the instant TIC investment materials. The Court again ADMONISHES counsel for the Basso Defendants for misrepresenting to this Court that the relevant language considered in <i>Stella</i> (and <i>WA Southwest</i>) is the “same” as or “identical” to the relevant language in this case. Plaintiffs to give notice of this ruling.
115	McCready vs. Basso 2013-00632262	1.Motion for Summary Judgment and/or Adjudication as to PLTF William McCready (ROA 2142)- Davies DEF [MOOT BASED ON NOS AND NOTICE OF WITHDRAWL] 2.Motion for Summary Judgment and/or Adjudication as to PLTF Richard Johnston (ROA 2151)- Davies DEF [MOOT BASED ON NOS AND NOTICE OF WITHDRAWL] 3. Motion for Summary Judgment and/or Adjudication (ROA 2097)- Basso DEF 4. Trial Readiness Conference Defendants Smith, Linden, & Basso LLP; Allen L. Basso; and Allen A. Basso’s (collectively, the “Basso Defendants”) motion for summary judgment is DENIED. The Court does so for the same reasons as stated in the Court’s ruling on the Basso Defendants’ substantially similar motion in the related case <i>Barrons</i>

v. Smith Linden & Basso, LLP, Case No. 2013-00648240. Accordingly, the Court incorporates that ruling by reference here.

As a preliminary matter, the Court rules as follows on Plaintiffs' Evidentiary Objections (ROA #2219):

- Basso Declaration (ROA #2093):
 - Objections #2-3 are **OVERRULED**. The Court also notes that Plaintiffs submitted these same pages as part of Plaintiffs' more complete versions of the exhibits.
 - Objections #1, 7-12, 15-32 are **SUSTAINED** to the extent the declaration seeks to use testimony to prove the contents of a writing. (Evid. Code, § 1523, subd. (a).)

Additional evidentiary rulings are discussed herein.

Here, the Basso Defendants seek summary judgment against both Plaintiffs Richard Johnston and William McCready. The two relevant investments at issue here for Johnston are his Aero Vault and Amlap TIC investments; and the one relevant investment at issue here for McCready is his Amlap TIC Investment. (ROA #2085, Mot. P&A at p. 4.)

As with the Basso Defendants' moving papers in the related *Barrons* case, the Basso Defendants' moving papers here repeatedly and incorrectly contend that "the subject disclosure packet contents" contain "identical language found in the subject PPMs as dispositive in the *Stella* [*v. Asset Management Consultants, Inc.* (2017) 8 Cal.App.5th 181] and *WA Southwest* [2, *LLC v. First American* (2015) 240 Cal.App.4th 148] cases." (ROA #2058, Mot. P&A at p. 3; see also *id.* at pp. 4, 8, 10, 15-16.) Also as with the Basso Defendants' moving papers in *Barrons*, the Basso Defendants here **misquote** the Private Placement Memoranda ("PPMs") of the relevant investments as including the "negotiated to include" language that was critical to the *Stella* court's holding (*id.* at p. 11; see also ROA #2237, SSUMF, ¶ 31), even though such language does not actually appear in the PPMs for the Aero Vault or Amlap TIC Investments (ROA #2095, Exh. 2 at p. 6 of PDF, Exh. 2A at p. 27 of PDF).

When called out on this misquoting by Plaintiffs' opposition papers, the Basso Defendants' reply brief in this case at least acknowledges the misquoting. (ROA #2235, Reply, p. 3.) However, the Basso Defendants brushed it off by contending that "[t]hese minor citation corrections do not affect the substance of the Motion." (*Id.*)

But the differences in the investment materials' language are not "minor." For all the reasons the Court explained in its ruling in the related *Barrons* case, the Basso Defendants are wrong about the significance of the omissions of the "negotiated to include" language and other language in the instant TIC investment materials. The Court again **ADMONISHES** counsel for the Basso Defendants for misrepresenting to this Court that the relevant language considered in *Stella* (and *WA Southwest*) is the "same" as or "identical" to the relevant language in this case.

The Court acknowledges that the Basso Defendants here also included, within their separate statement and proffered evidence, the PPM for another investment Plaintiff McCready participated in—i.e., the Fiesta limited partnership (“LP”) investment. (See SSUMF at ¶ 12, citing ROA #2091 at Exh. 3 [McCready Depo. Tx. Vol. I, Part II] at 32:5-34:16, and citing ROA #2093 [Basso Decl.] at ¶ 5.) The Fiesta LP investment PPM does contain the “negotiated to include” language considered by the *Stella* court. (ROA #2095, Exh. 3 at p. 29 of PDF.) However, the Basso Defendants’ moving and reply papers do not explain why this language is relevant when the only investment at issue here is McCready’s *Amlap TIC investment*.

In their SSUMF, the Basso Defendants merely allege that “McCready also confirmed that for the LP Investments, he received similar PPM for his 2007 investment, including Fiesta, and the material contents of each of these four, listed as ‘Overland’, ‘Fiesta’, ‘Packard’ and ‘Textron’, all had the same disclosures . Allen L. Basso confirms this fact.” (SSUMF, ¶ 12.) In support, the Basso Defendants cite only the following evidence:

- McCready’s Deposition Transcript, Volume I, Part II at 32:5-34:16: The Court has reviewed this testimony, and viewed in the light most favorable to McCready, he confirms only that “Fiesta Venture is something [he] participated in.” (*Id.* at 34:10-11.)
- Allen L. Basso’s Declaration at Exhibit 3: This exhibit contains the Fiesta LP investment PPM.
- Allen L. Basso’s Declaration at ¶ 15: Basso attests as follows: “McCready also confirmed that for the LP Investments, he received similar PPM for his 2007 investment, including Fiesta, and the material contents of each of these four, listed as ‘Overland’, ‘Fiesta’, ‘Packard’ and ‘Textron’, all had the same disclosures. A true and correct copy of the Fiesta LLP Private Placement Memorandum is attached as Exhibit ‘3’. The exact same material disclosures in the Fiesta PPM were contained in the Overland, Packard and Textron LLP investments.”

None of this evidence explains why McCready’s receipt of the PPMs for the Fiesta or other LP investments is relevant or relates to McCready’s *Amlap TIC investment*.

Ultimately, it is not the court’s function to “act as counsel for [a party] and furnish a legal argument” for that party. (*Niko v. Foreman* (2006) 144 Cal.App.4th 344, 368 [rejecting party’s arguments made “without supporting legal or factual analysis”]; see also *Craddock v. Kmart Corp.* (2001) 89 Cal.App.4th 1300, 1307 [refusing to consider argument “so poorly articulated” where party does not develop stated proposition or cite authority for the proposition]; *Sprague v. Equifax, Inc.* (1985) 166 Cal.App.3d 1012,

		1050 [court is entitled to “the assistance of counsel”].) Moreover, “only those facts set forth in the separate statement are relevant when determining whether summary judgment should be granted.” (<i>Roger H. Proulx & Co. v. Crest-Liners</i> (2002) 98 Cal.App.4th 182, 198; see also <i>United Community Church v. Garcin</i> (1991) 231 Cal.App.3d 327, 336, internal quotes omitted, emphases original [“<i>all</i> material facts must be set forth in the separate statement. This is the Golden Rule of Summary Adjudication: if it is not set forth in the separate statement, <i>it does not exist</i>. Both the court and the opposing party are entitled to have all the facts upon which the moving party bases its motion plainly set forth <i>in the separate statement</i>”].) The Court also notes that Plaintiffs objected to Exhibit 3 of the Basso Declaration on the grounds of hearsay, irrelevance, and Evidence Code section 452. (ROA #2219 [Pls. Evid. Objs.], #4.) Plaintiff further objected to ¶ 15 of the Basso Declaration on the grounds of hearsay, Evidence Code section 1523 (testimony used to prove the contents of a writing), irrelevance, and Evidence Code section 452, among other grounds. (Pls. Evid. Objs. #14.) The Court SUSTAINS Plaintiffs’ evidentiary objections #4 and #14 on the grounds of relevance. (Evid. Code, §§ 210, 350.) The Court also SUSTAINS Plaintiffs’ evidentiary objection #14 to the extent the declaration seeks to use testimony to prove the contents of a writing. (Evid. Code, § 1523, subd. (a).) However, even if the Court were to overrule these objections and admit Basso’s declaration at Exhibit 3 and ¶ 15, the Court finds that the Basso Defendants have failed to satisfy their initial burden of proof as well as their ultimate burden of persuasion that they are entitled to summary judgment <i>as a matter of law</i> based upon the arguments and evidence submitted in their moving papers. Plaintiffs to give notice of this ruling.
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